

Predicted Paper 1 – Advanced GCSE (9–1) Economics

J205/01 Introduction to Economics

Time allowed: 1 hour 30 minutes

You can use:

- a scientific or graphical calculator
- an HB pencil

Please write clearly in black ink. Do not write in the barcodes.

Centre number Candidate number

First name(s) _____

Last name _____

INSTRUCTIONS

- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided. You can use extra paper if you need to, but you must clearly show your candidate number, the centre number and the question numbers.
- Answer all the questions.

INFORMATION

- The total mark for this paper is 80.
- The marks for each question are shown in brackets [].
- Quality of extended response will be assessed in questions marked with an asterisk (*).

ADVICE

- Read each question carefully before you start your answer.

SECTION A

Answer all the questions. Write your answer in the box provided at the end of each question.

1 In economics, the basic economic problem is best described as

- A the difficulty of making a profit
- B unlimited wants exceeding scarce resources so choices must be made
- C the problem of inflation rising faster than wages
- D the difficulty of fair distribution of income

Your answer ☐ [1]

2 A skilled pastry chef gives up running her own restaurant to take a salaried role in a hotel chain because she prefers stable hours. This decision is most clearly an example of

- A a change in productivity
- B specialisation of labour
- C opportunity cost and non-monetary incentives
- D an increase in the supply of labour across the economy

Your answer ☐ [1]

3 The table shows the output and total cost of a firm. Output: 10, 20, 30, 40 Total cost (£): 100, 180, 240, 320 Over which range of output does the firm experience economies of scale?

- A 10 to 20
- B 20 to 30
- C 30 to 40
- D Economies of scale do not occur at any output

Your answer ☐ [1]

4 In a labour market, the wage rate rises after the supply of labour falls. Which of the following is most likely to explain the fall in supply?

- A An increase in the productivity of workers
- B A reduction in migration into the industry
- C An increase in demand for the firm's products
- D An increase in the firm's total revenue

Your answer ☐ [1]

5 A street-food vendor sells falafel wraps. The vendor raises the price from £5 to £6. Weekly sales fall from 400 to 360 wraps. The PED for the wraps is approximately

- A 0.5 – price inelastic
- B 0.5 – price elastic
- C 2.0 – price inelastic
- D 2.0 – price elastic

Your answer ☐ [1]

6 Which of the following markets is most likely to experience the greatest price fluctuation following a small change in supply?

- A A market with price elastic demand
- B A market with price inelastic demand
- C A market with unitary elasticity of demand
- D A market with perfectly elastic demand

Your answer ☐ [1]

7 A monopoly is most likely to charge higher prices than a firm in a competitive market because

- A its costs of production are always higher
- B it faces many close substitutes
- C it has significant market power and few or no direct competitors
- D government regulation forces it to do so

Your answer ☐ [1]

8 Two goods, X and Y, are complements. The supply of Y falls following a poor harvest. The most likely effect on the market for X is

- A demand for X falls and the price of X falls
- B demand for X rises and the price of X rises
- C supply of X falls and the price of X rises
- D supply of X rises and the price of X falls

Your answer ☐ [1]

9 A firm sells 500 units at a price of £20. Its total costs are £7 500. If it could increase its price to £22 without losing sales, by how much would its profits rise?

- A £500
- B £1 000
- C £2 500
- D £11 000

Your answer ☐ [1]

10 Which of the following best explains why governments provide street lighting rather than the private sector?

- A Street lighting is highly profitable for private firms
- B Private firms cannot make a profit from providing street lighting because it is difficult to charge users for it
- C Street lighting is always cheaper when provided by the public sector
- D Street lighting creates negative externalities

Your answer ☐ [1]

11 A small, independent coffee shop tries to compete with a large chain by offering loyalty schemes, high-quality ingredients and a unique atmosphere. This strategy is best described as

- A price competition only
- B collusion with the chain
- C non-price competition and product differentiation
- D perfect competition

Your answer ☐ [1]

12 A fall in interest rates is most likely to

- A reduce consumer spending and reduce business investment
- B increase consumer spending and increase business investment
- C increase the incentive to save
- D have no effect on the labour market

Your answer ☐ [1]

13 A firm increases output from 100 to 150 units. Total cost rises from £2 000 to £2 500. The change in average cost per unit is

- A a fall of £3.33
- B a rise of £3.33
- C a fall of £10
- D a rise of £10

Your answer ☐ [1]

14 When signalling and incentive functions of price work effectively,

- A consumers ignore price changes
- B resources move towards markets where prices are rising and profits are higher
- C governments must set prices for all goods
- D producers always lose out to consumers

Your answer ☐ [1]

15 Which of the following is a correct statement about an insurance company?

- A It sets the base rate of interest for the economy
- B It pools risk by collecting premiums and paying out claims when insured events occur
- C It is always owned by the government
- D It only provides loans to households

Your answer ☐ [1]

16 A government wants to reduce carbon emissions from a heavily polluting industry. Which of the following is most likely to internalise the external cost of the pollution?

- A A subsidy paid to producers of the polluting good
- B A tax per unit placed on producers reflecting the cost of pollution
- C A price ceiling set below the equilibrium price
- D Removing all regulation of the industry

Your answer ☐ [1]

17 In a labour market with perfectly inelastic labour supply, an increase in demand for labour will cause

- A wages to rise while the number employed stays the same
- B wages to stay the same while the number employed rises
- C both wages and employment to fall
- D no change at all

Your answer ☐ [1]

18 An economy is described as having moved from the primary sector to the tertiary sector over the last fifty years. This means that a larger share of output now comes from

- A farming, mining and fishing
- B manufacturing and construction
- C services such as finance and retail
- D household consumption only

Your answer ☐ [1]

19 A firm's productivity rises faster than its wages. In the long run, this is most likely to

- A reduce the firm's unit labour costs and improve its competitiveness
- B increase the firm's unit labour costs and harm its competitiveness
- C have no impact on the firm's costs
- D always reduce the firm's profits

Your answer ☐ [1]

20 A small building firm decides to become a specialist fitter of solar panels rather than doing general building work. This is most likely to

- A reduce the firm's ability to benefit from rising demand for green technology
- B increase the firm's dependence on a single market, raising its exposure to changes in that market
- C guarantee higher profits in all market conditions
- D remove all risk from the business

Your answer ☐ [1]

SECTION B

Answer all the questions.

21 Extract 1

The UK housing market

House prices in many UK regions have risen sharply over the last decade. Strong demand has come from population growth, relatively low interest rates during much of this period, and buy-to-let investors. At the same time, the supply of new homes has not kept pace with demand. House-building is limited by planning restrictions, shortages of skilled construction workers and rising costs of materials such as timber and bricks.

Housing is considered a necessity, so demand for housing tends to be price inelastic. Supply is also relatively price inelastic in the short run because it takes time to plan and build new homes.

The Bank of England has recently raised interest rates to slow inflation. This has made mortgages more expensive. Some economists expect this to reduce demand for housing and slow the rise in prices. Others argue that because supply cannot respond quickly, the effect will be limited.

(a) Explain, using an example, what is meant by price inelastic supply.

[2]

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(b) Explain one reason why new house-building is described as having inelastic supply in the short run.

[2]

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[6]

[illegible][illegible]

(d)

(i) Using Extract 1, explain one reason why house prices have risen sharply over the last decade.

[2]

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(ii) Explain how price inelastic supply of new houses could affect the ability of the market to respond to a fall in demand.

[2]

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(iii)* Evaluate the extent to which rising interest rates are likely to slow the rise in UK house prices. Use the information given in Extract 1 and your own knowledge.

[6]

This image shows a full page of dot grid paper. The background is white, and it is covered with a regular pattern of small, grey dots. The dots are arranged in perfectly straight horizontal and vertical rows, creating a grid-like appearance across the entire surface. There are no margins, text, or other markings present.

22 Extract 2

A car parts manufacturer

Durrell Engineering is a medium-sized UK manufacturer of specialist car parts. It supplies parts to three large car companies. The managing director, Aisha, has been offered a major contract to supply 20 000 units of a new electric-motor component at a price of £45 per unit.

Aisha has estimated the following costs of fulfilling the contract:

Cost item	Total cost (£)
Raw materials	360 000
Skilled labour	240 000
Machine running costs	120 000
Factory overheads (fixed)	150 000

Durrell Engineering already uses division of labour on its production line and has invested heavily in capital equipment. Aisha believes further investment could increase productivity but is concerned about the risks of taking on debt when interest rates are high. Durrell Engineering operates in both the product market and the factor market.

(a) Explain what is meant by the factor market.

[2]

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(b) Calculate the profit or loss Durrell Engineering will make on the contract. Show your working.

[2]

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Answer = £ _____

(c) Analyse the advantages for Durrell Engineering of making a profit on this contract.

[6]

(d)

(i) Explain what is meant by productivity.

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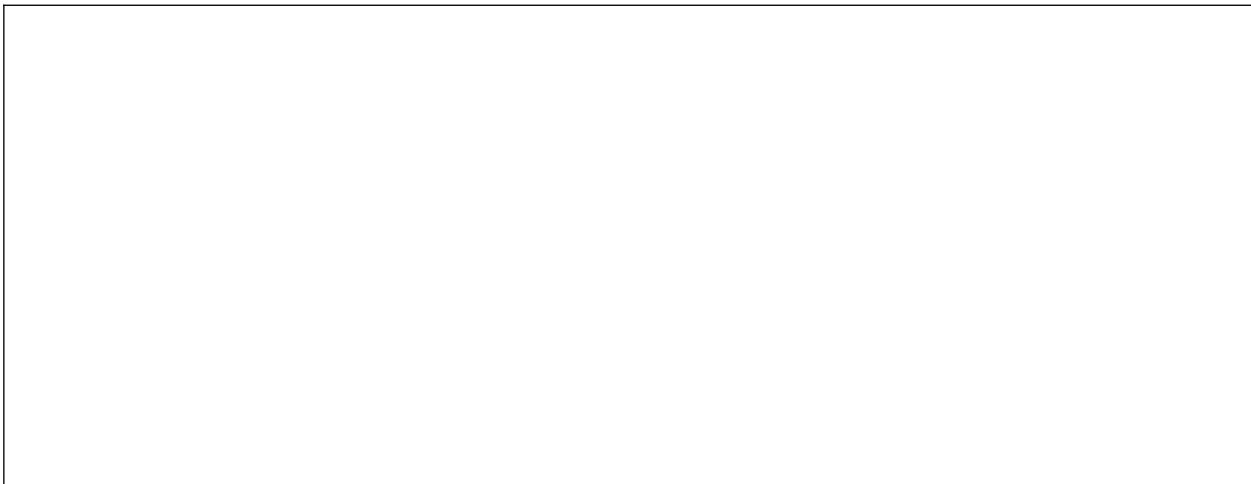
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(ii) Draw and label a diagram showing the effect on Durrell Engineering's supply curve of a successful investment in more efficient capital equipment.

[2]

Quantity on the horizontal axis; Price on the vertical axis.



[6]

23 Extract 3

A multinational coffee chain

Bearcup is a multinational coffee chain operating over 900 stores. Bearcup sources its coffee beans from several countries. In recent years a global shortage of coffee beans has pushed up Bearcup's costs. At the same time, consumer demand for premium coffee has remained strong and is believed to be price inelastic.

Six years ago Bearcup borrowed £20 million from a syndicate of commercial banks to fund expansion. At that time it paid 2.5% interest, meaning monthly interest payments of £41 666.67. Its interest rate will rise to 5.5% next month.

Bearcup's CEO, Harold, argues that the business should increase its specialisation in premium coffee and reduce its range of food products. Other senior managers argue that Bearcup should instead compete more aggressively on non-price factors, such as loyalty schemes and in-store experience, to retain market share against smaller independent coffee shops that have grown in popularity.

(a) Explain what is meant by price elasticity of demand.

[2]

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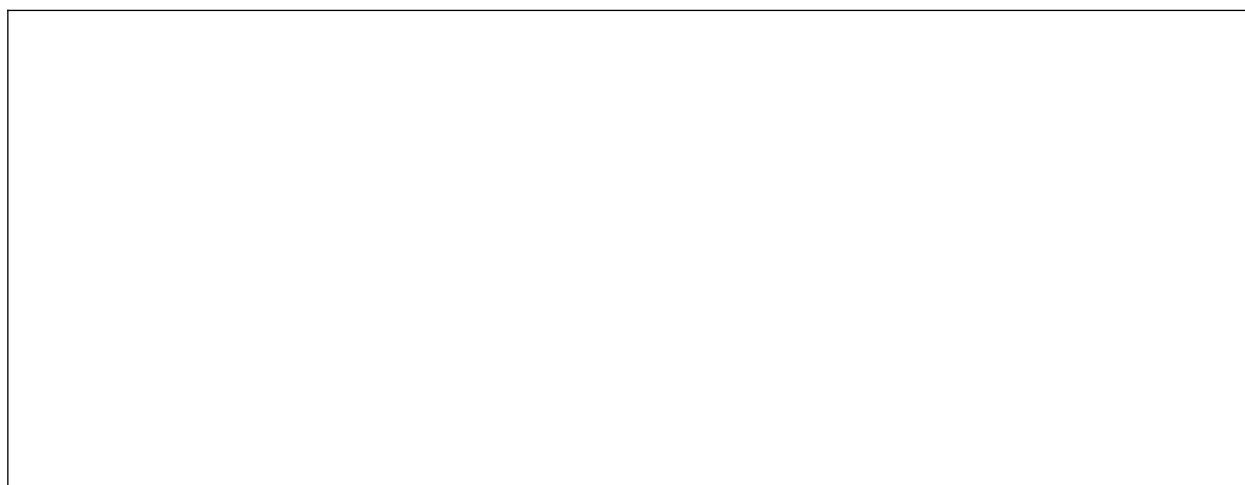
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(b) Draw and label a demand and supply diagram showing the likely effect on the world market for coffee beans of a global shortage.

[2]

Quantity on the horizontal axis; Price on the vertical axis.



[6]

(d)

(i) Calculate Bearcup's new monthly interest payment when the interest rate rises to 5.5%. Show your working.

[2]

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Answer = £ _____

(ii) Explain the opportunity cost to Bearcup of reducing its range of food products.

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(iii)* Evaluate whether Bearcup should focus on increased specialisation in premium coffee rather than on non-price competition. Use the information given in Extract 3 and your own knowledge.

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END OF QUESTION PAPER